

AI for a Small Business: The Case for Starting Now

A decision brief for an apprehensive small-business owner — with current adoption data, benefits, risks, and the real cost of waiting.

Executive Summary

Adopt AI now — but adopt it the small-business way: narrow, governed, and measured. The evidence supports a clear decision:

- **AI use has roughly tripled among small businesses since 2023.** Small-business generative AI use rose from 23% in 2023 to 58% in 2025 ([U.S. Chamber of Commerce](#)), and the share of U.S. small businesses using AI regularly climbed from 48% in mid-2024 to 77% by January 2026 ([Intuit](#)).
- **The payoff for small businesses is concrete, not theoretical.** Small businesses using AI report a median of 5 owner-hours and 11.5 employee-hours saved per week against a median annual spend of \$2,200, and 66% report AI-attributed revenue gains ([SBE Council](#)).
- **Professional services is an early-adopter industry.** Firms in the professional/scientific/technical sector use AI at 34.2% — second only to Information among all sectors ([U.S. Census Bureau](#)). For tax and accounting firms specifically, enterprise GenAI use nearly tripled in one year, from 8% to 21% ([Thomson Reuters](#)).
- **The risks are real but manageable** — and one of the biggest risks is the one you carry today without adopting anything: if you have staff, the broader evidence suggests unmanaged personal AI use at work is already common, so the real choice is governed AI, not no AI ([MIT NANDA](#)).
- **The cost of delay is a widening gap, not a cliff.** Twenty percent of organizations now capture 74% of AI's economic value ([PwC](#)), and the value goes to organizations that started earlier, redesigned workflows, and learned. Every quarter of waiting compounds a competitor's learning advantage.

Apprehension is rational — and this report takes the cons as seriously as the pros. The conclusion, laid out below with the underlying data, is that a small, deliberate start now beats both a rushed transformation and a wait-and-see stance.

Where AI Adoption Stands Today

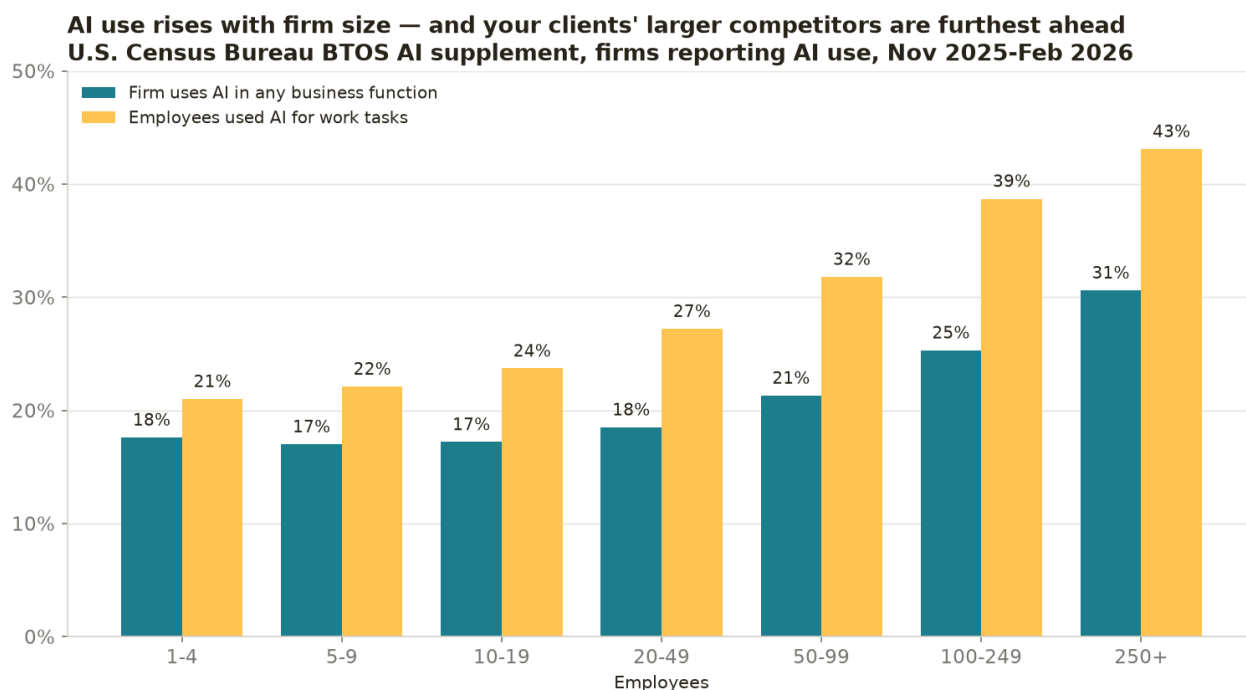
The honest baseline: two very different numbers

Reported AI adoption depends heavily on who is measuring and how. The U.S. Census Bureau's probability-based survey — the most statistically reliable source — finds that **19.8% of all U.S. businesses** were using AI as of May 2026, with adoption hovering between 17% and 20% over the preceding six months ([U.S. Census Bureau](#)). Vendor and association surveys of small-business owners, which use looser definitions, put small-business AI use far higher — from about half of workers using AI at work ([U.S. Chamber Foundation](#)) up to 87% in marketing ([Constant Contact via PR Newswire](#)).

Both are true. The Census question is strict ("used AI in a business function in the last two weeks"); owner surveys count anyone touching an AI tool. The direction is the same in every dataset: up, and steeply.

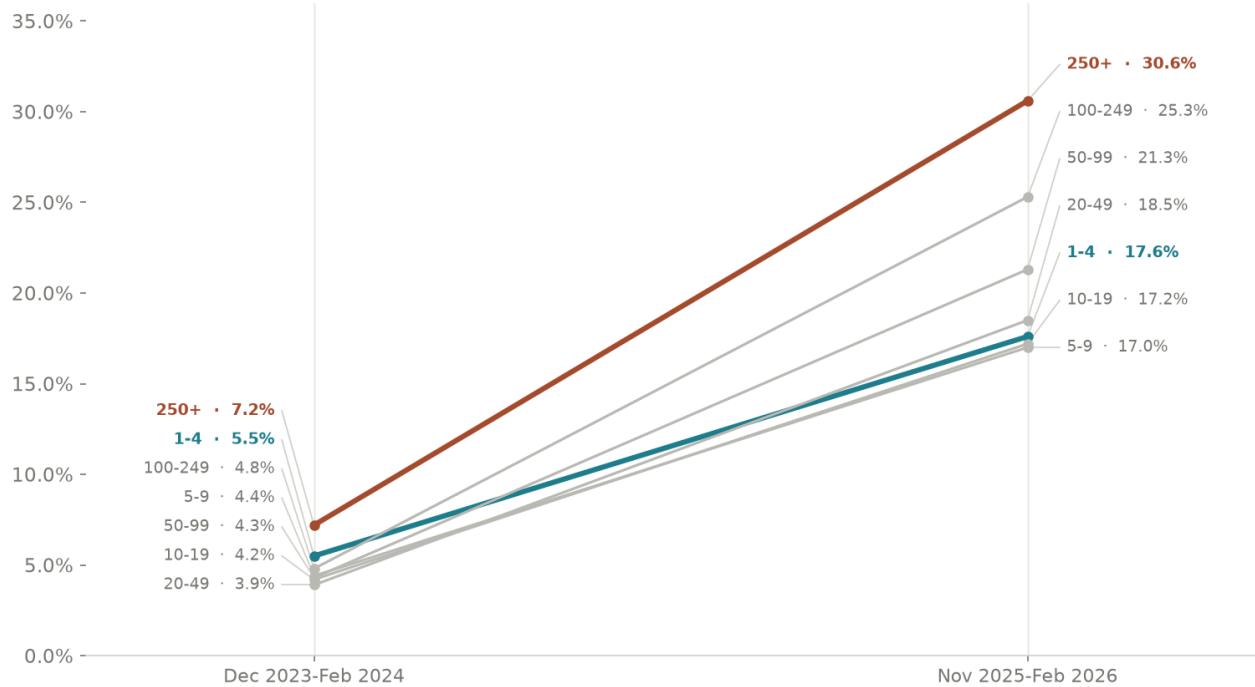
Adoption by business size

AI use rises with firm size, and the gap is widening. As of the latest Census AI supplement (November 2025–February 2026), 17.6% of firms with 1–4 employees used AI in at least one business function, versus 30.6% of firms with 250+ employees ([U.S. Census Bureau](#)). At the employee level — workers actually using AI on the job — the gradient is steeper: 21% at the smallest firms versus 43% at the largest.



Two years earlier, in the Census Bureau's first AI measurement (December 2023–February 2024), the numbers were 5.5% and 7.2% respectively — every size band has tripled or quadrupled, but large firms have pulled further ahead: the large/small adoption ratio widened from about 1.3x to about 1.7x ([U.S. Census Bureau](#), [SBA Office of Advocacy](#)). The Federal Reserve, monitoring the same series, confirms adoption stood at about 18% of firms at the end of 2025 after growing 68% over the prior year ([Federal Reserve](#)).

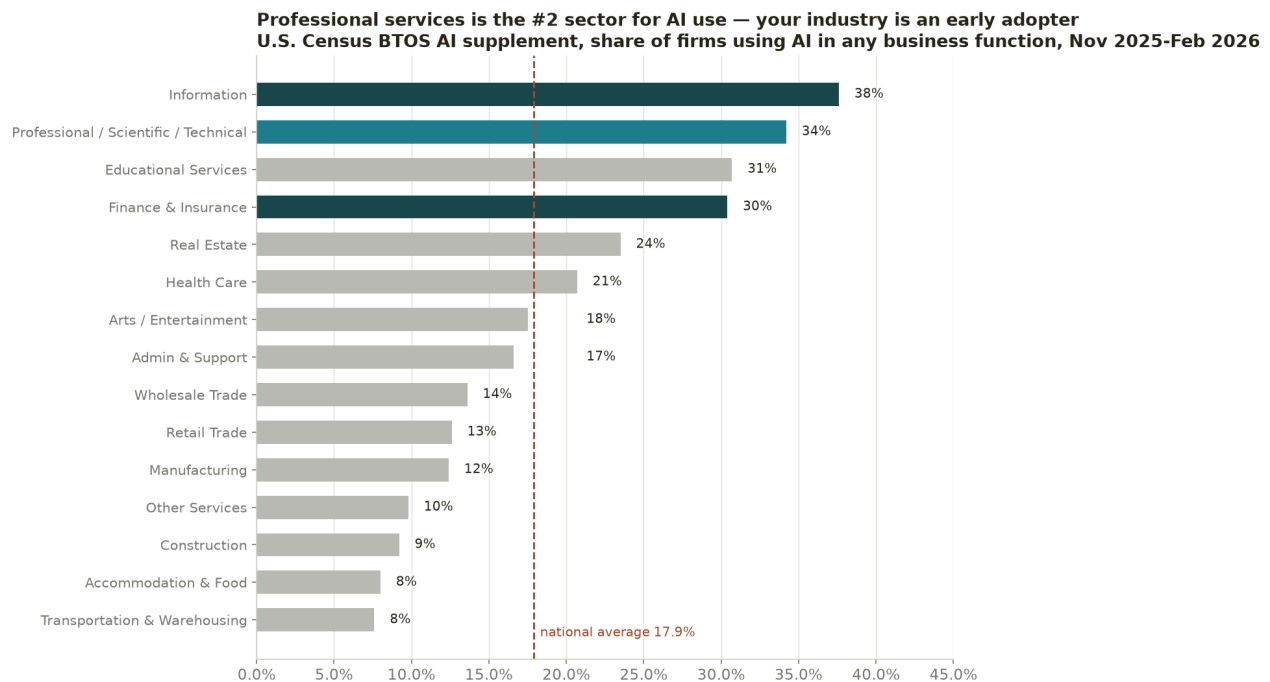
AI use tripled or quadrupled in every size band in two years — big firms still lead
U.S. Census BTOS, share of firms using AI (survey wording changed between periods)



Census fieldwork also found the adoption rate is expected to reach 22% of all firms within six months ([Census Bureau working paper](#)), and among adopting firms, use is heaviest in sales and marketing (52% of AI users), strategy and business development (45%), and IT (41%) ([Census Bureau CREAT](#)).

Adoption by industry

Your industry is not on the AI sidelines. Among all sectors, Information leads at 37.6%, followed by Professional/Scientific/Technical services at 34.2% — the category that includes CPA and trust-services firms — then Educational Services and Finance & Insurance ([U.S. Census Bureau](#)). Among very large firms in Information, Professional Services, and Finance, AI use runs 50–60% ([Census Bureau working paper](#)). The national average was 19.8% as of May 2026 ([U.S. Census Bureau](#)).



What the big firms are doing (McKinsey, BCG, Deloitte, PwC, KPMG, EY)

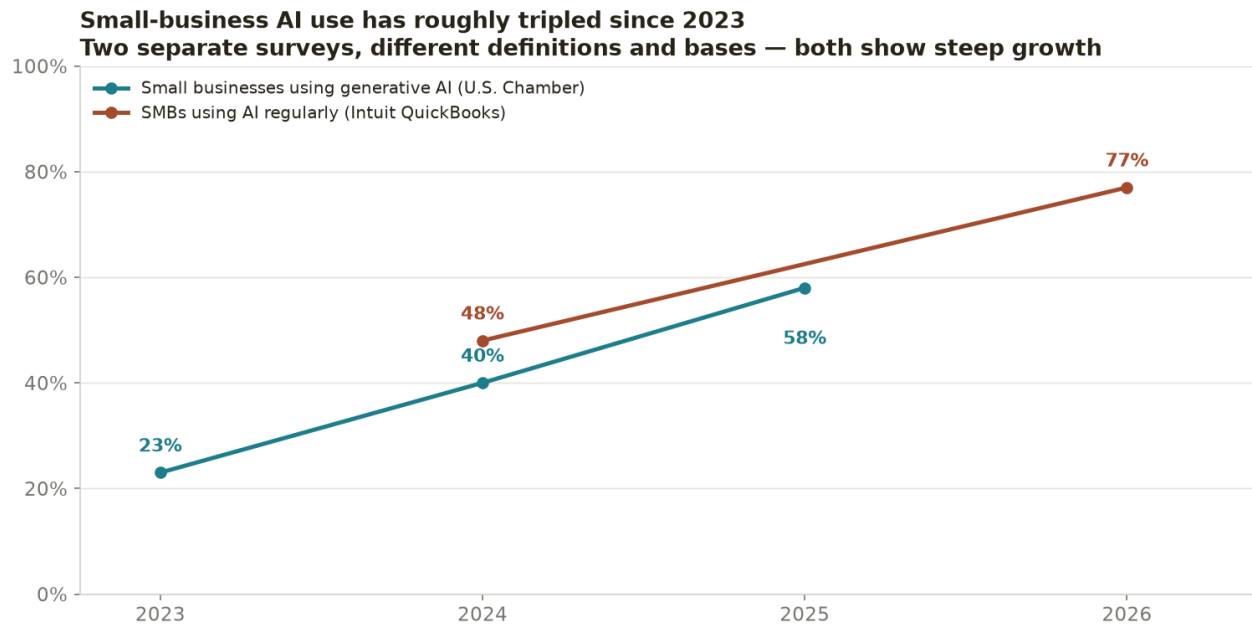
Among enterprises — where the consulting firms measure — AI is now near-universal and deepening:

- Nearly nine in ten organizations regularly use AI in at least one function, 44% are scaling it enterprise-wide, and 37% report AI contributing positively to EBIT ([McKinsey State of AI 2026](#)).
- 78% of organizations used AI in at least one business function in 2024, rising to 88% in 2025 ([Stanford HAI AI Index](#)).
- Only 5% of companies worldwide are true AI leaders; another 35% are scaling and beginning to generate value, while 60% reap hardly any material value despite substantial investment ([BCG](#)).
- 99% of large-enterprise leaders are at least integrating and scaling AI ([EY](#)), and 88% of executives plan to increase AI budgets ([PwC AI Jobs Barometer](#)).
- Deloitte finds 34% of enterprises using AI to deeply transform their business, with productivity gains reported by 66% ([Deloitte](#)).

The important nuance for a small business: these enterprise surveys skew large (McKinsey's sample is 36% organizations with >\$1B revenue). Enterprise scale-out is expensive and slow; a small firm can capture value in weeks, not years.

Small businesses specifically

The small-business trend lines all point the same direction:

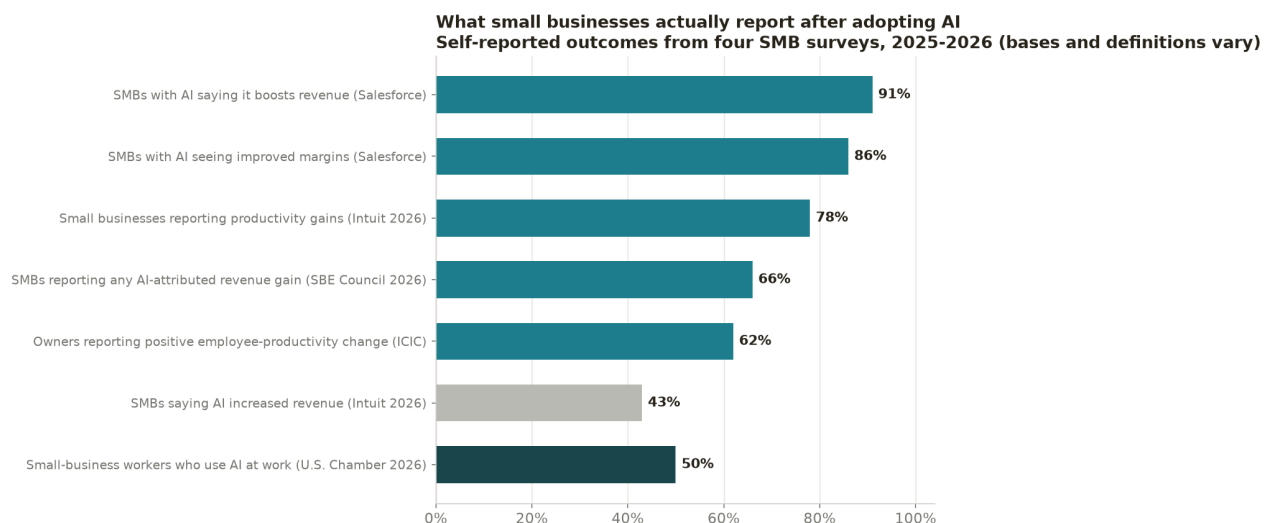


- Small-business GenAI use: 23% (2023) → 40% (2024) → 58% (2025), with 82% of AI-using small businesses having grown their headcount ([U.S. Chamber of Commerce](#)).
- 49% of U.S. small-business owners used AI by late 2025 — almost double the 25% of early 2024 ([GoDaddy](#)).
- 76% of Goldman Sachs 10,000 Small Businesses participants use AI, 93% report a positive impact, but only 14% say it is fully embedded in core operations ([Goldman Sachs](#)).
- 75% of SMBs are at least experimenting with AI; among growing SMBs, 83% are ([Salesforce](#)).
- 82% of small businesses use at least one AI tool, with a median of five tools in use ([SBE Council](#)).

The Pros: Impact and Benefits

What small businesses report

Self-reported outcomes across four independent SMB surveys are strikingly consistent:



- 78% of U.S. SMBs report improved productivity from AI (up from 46% in 2024), and 43% report increased revenue versus 2% reporting the opposite ([Intuit](#)).
- 91% of SMBs with AI say it boosts revenue and 86% see improved margins ([Salesforce](#)).
- 62% of owners report a positive change in employee productivity since implementing AI, and 62.7% a positive change in job satisfaction — against only about 6% reporting negative changes ([ICIC](#)).
- The best SMB-specific ROI dataset available: median 5 owner-hours and 11.5 employee-hours saved per week against a median annual AI spend of \$2,200; 66% report AI-attributed revenue gains; 19% say AI created jobs versus 9% reporting a net reduction ([SBE Council](#)). Five owner-hours a week over a working year is roughly 240 hours — about six 40-hour weeks of the owner's time reclaimed for roughly \$2,200.

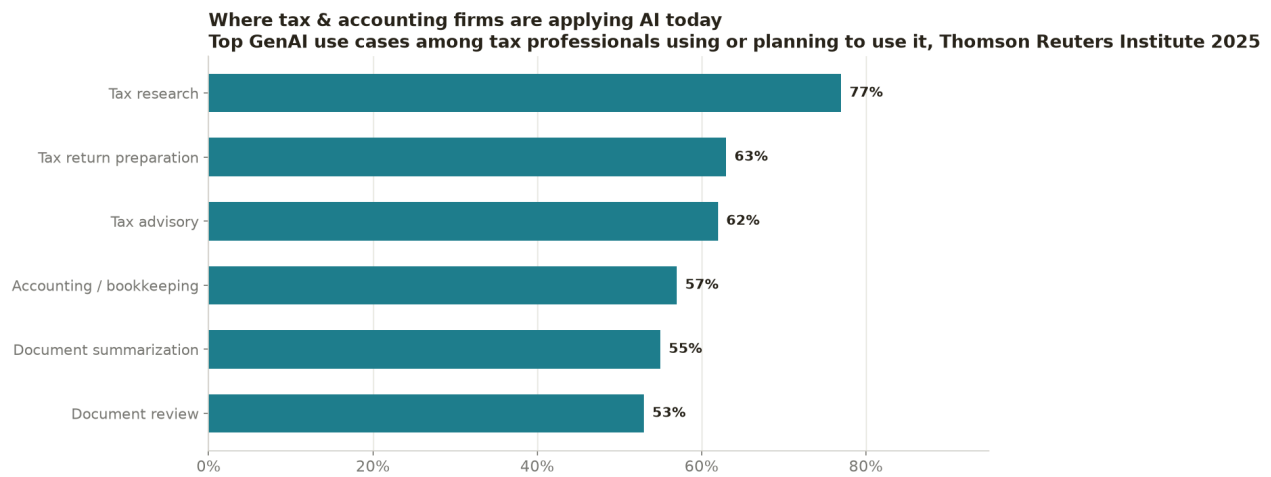
What rigorous causal studies show

- Customer-support agents with a generative AI assistant resolved 14% more issues per hour on average — and 34% more for less-experienced workers, with improved customer sentiment and employee retention ([NBER](#), [Brynjolfsson et al.](#)).
- Developers completed a scoped task 55% faster with an AI coding assistant ([GitHub](#)).
- A consistent pattern: AI helps novices most, compressing the experience gap — which matters for a small firm that can't hire a deep bench of senior specialists.

What it means for a CPA and trust-services practice

Thomson Reuters Institute's 2025 survey of tax and accounting professionals documents your industry's specific picture:

- Tax-firm GenAI use at the enterprise level nearly tripled year over year, from 8% to 21%, and 53% more firms are planning or considering it ([Thomson Reuters](#)).
- 71% of tax professionals now believe GenAI should be applied to their daily work, up from 52% a year earlier ([Thomson Reuters](#)).
- 77% of clients want their tax firm to use GenAI — yet 59% of clients don't know whether their firm is using it ([Thomson Reuters](#)). For a client-services firm, that is both a warning and an opportunity.
- 79% of tax, audit and accounting firm professionals expect AI to have a high or transformational impact on their industry ([Thomson Reuters Future of Professionals](#)).



The leading use cases map directly to your workflows: tax research (77%), tax return preparation (63%), tax advisory (62%), accounting/bookkeeping (57%), document summarization (55%), and document review (53%) ([Thomson Reuters](#)). Professionals in the industry project AI could free four hours per week within one year, rising to 12 hours per week within five years ([Thomson Reuters](#)).

Where enterprises see money

McKinsey's survey data shows where AI produces hard financial results: strategy & corporate finance (70% of function users reporting revenue increases), supply chain (67%), and marketing & sales (66%); on the cost side, HR (50%), supply chain (46%), and service operations (45%) most often report cost decreases ([McKinsey](#)). Stanford's AI Index finds organizations most often report AI improving innovation (64%), cost (38%), and profitability (36%) ([Stanford HAI](#)).

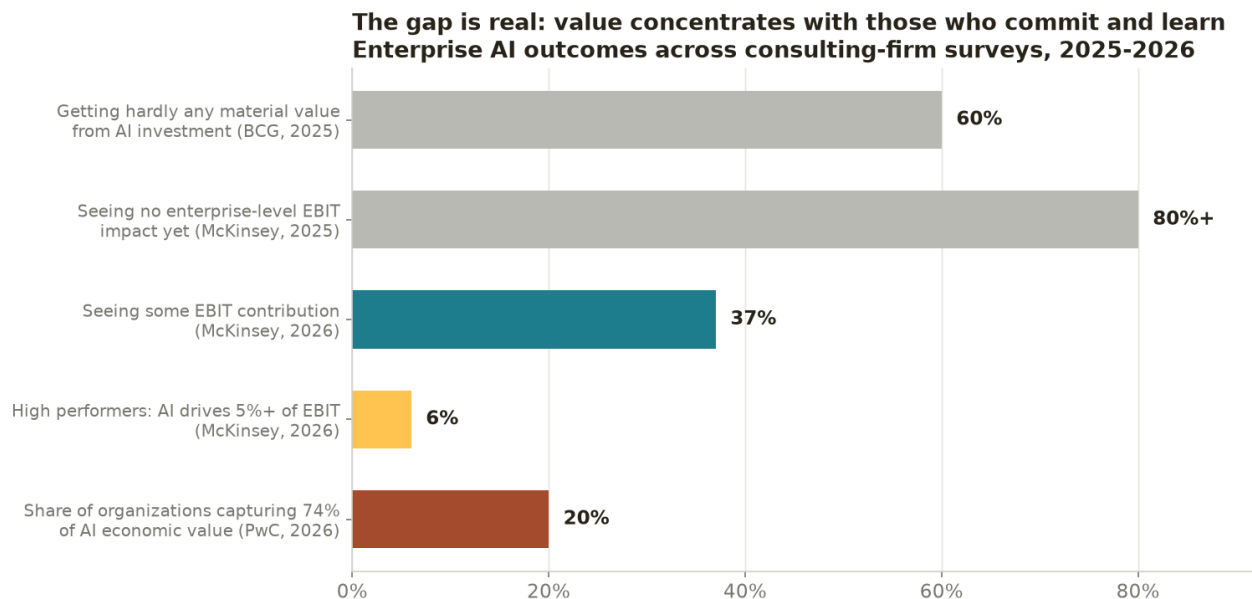
The Cons: Risks and Honest Caveats

Apprehension deserves straight answers, not sales talk. These are the documented risks, with the evidence behind each.

1. Most organizations are not yet capturing big money

The often-cited MIT-affiliated finding — that 95% of organizations were getting zero return from generative AI as of mid-2025 — is real, but its denominator matters: it refers to **custom, enterprise-grade AI builds**, of which only 5% reached production ([MIT NANDA](#)). The same report found general-purpose LLM chatbots — the off-the-shelf tools a small business actually buys — convert from pilot to implementation about 83% of the time ([MIT NANDA](#)). Related: purchased tools succeed about 67% of the time versus internal custom builds, which fail at roughly three times that rate ([Fortune](#)). For an SMB the lesson is: **buy, don't build**.

The consulting-firm picture is equally sobering at the enterprise level:



Only 37% of enterprises see any EBIT contribution from AI and just 6% are high performers (McKinsey 2026); 60% of companies reap hardly any material value (BCG); and 20% of organizations capture 74% of all economic value (PwC). The differentiator across every study is not tool choice — it is **workflow redesign**: McKinsey found workflow redesign is the single strongest driver of EBIT impact among 25 attributes tested (McKinsey), PwC puts the technology/work split at roughly 20/80 (PwC), and Microsoft finds 67% of AI's impact is organizational rather than individual (Microsoft Work Trend Index).

2. AI can be wrong — and occasionally slow experts down

- Hallucination rates across 26 leading models span 22% to 94% on certain benchmarks (Stanford HAI 2026), and reported AI incidents rose to a record 362 in 2025 from 233 in 2024 (Stanford HAI). For a fiduciary practice, every client-facing output needs human review — non-negotiable.
- In one randomized trial, experienced developers were 19% slower with AI tools while believing they were 20% faster (METR). AI amplifies capable novices more than it speeds top experts.
- 47% of organizations have experienced at least one negative consequence from gen AI use, with inaccuracy (64%), regulatory compliance (63%), and cybersecurity (60%) the most-cited risks (McKinsey, Stanford HAI 2025).

3. Data privacy and security — the top concern for good reason

Executives rank data privacy and security as the #1 AI risk (66% put it in their top three) (BCG). For a practice handling client financial data and trust documents, this is the concern to design around: consumer AI tools should never receive client PII or return information; enterprise-grade tools with data protections and business terms are the appropriate channel. Small businesses' own top barriers to AI are privacy, fear of errors, and uncertainty about what AI can do — not cost (Intuit).

4. The small-business governance gap

Small companies are far behind on safeguards: only 9% monitor production AI systems (versus 48% of all organizations), only 36% have an AI incident response plan, 55% have AI use policies, and over 90% have no visibility into how their AI systems behave after deployment ([Kiteworks](#)). Among tax firms specifically, 70% lack policies guiding GenAI use in their practice ([Thomson Reuters](#)). A one-page acceptable-use policy closes most of this gap at essentially zero cost.

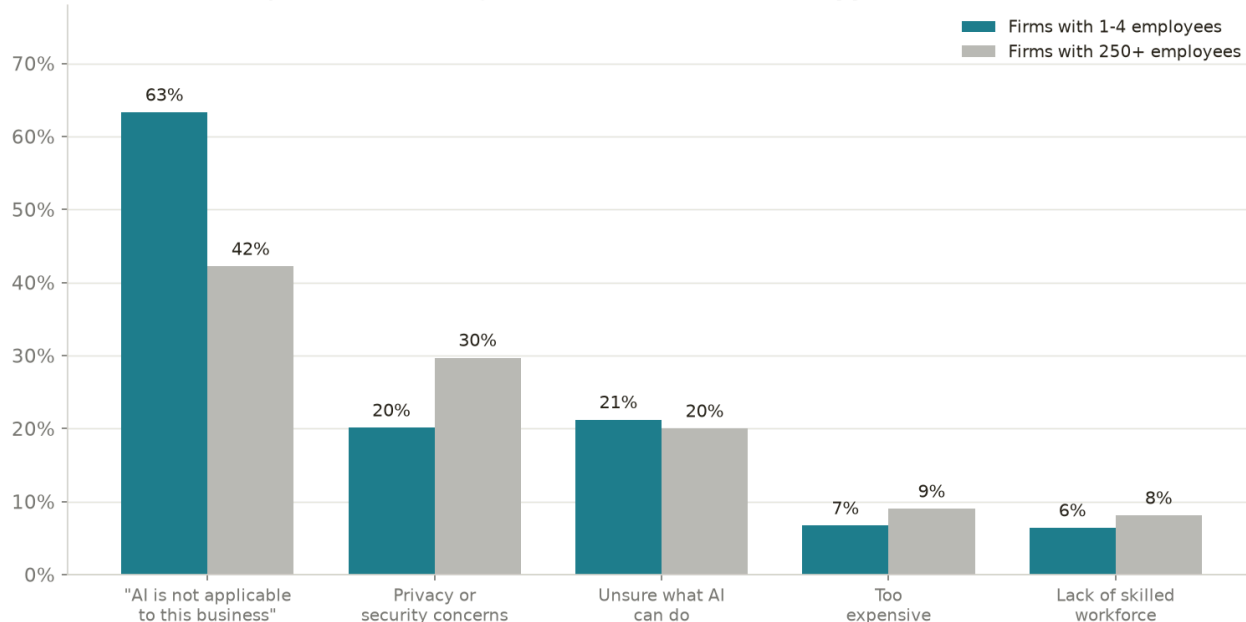
5. Regulatory complexity

Regulatory compliance concerns rose from 28% to 38% as the top barrier to gen AI in the enterprise ([Deloitte](#)), and 65% of small businesses worry about a patchwork of state AI laws ([U.S. Chamber](#)). The practical answer for a small firm is modest: an acceptable-use policy, human review of anything client-facing, and disclosure practices consistent with professional standards.

The barrier you may not have considered

Census data shows the #1 reason small firms give for not using AI is not cost or risk — it is believing AI is "not applicable to this business" (63% of non-adopting firms with 1–4 employees), while only 7% cite expense ([U.S. Census Bureau](#)). Given that professional services ranks #2 among all sectors in AI use, that belief is empirically wrong for a CPA practice — and it is the single belief most likely to cause a small firm to miss the window.

The #1 barrier for small firms isn't cost — it's believing AI doesn't apply to them
Reasons cited by firms NOT using AI, U.S. Census BTOS AI supplement, Nov 2025-Feb 2026



Why Adopt Now: The Risk of Delaying

1. Waiting does not avoid AI risk — it only makes it ungoverned

Workers at over 90% of companies already use personal AI tools for work, while only 40% of companies have bought an official subscription or set proper rules ([MIT NANDA](#)). If you have staff, the realistic choice is not "AI or no AI" — the evidence suggests it is "governed AI or shadow AI." An apprehensive owner's first move is therefore a policy and a sanctioned tool, which requires adopting, not abstaining.

2. The payoff compounds with learning, and leaders are pulling away

BCG's AI leaders see 5x the revenue increases and 3x the cost reductions of laggards, and expect 2x the revenue gains and 40% greater cost reductions by 2028 ([BCG](#)). PwC finds value concentrating: 20% of organizations capture 74% of the economic value, and those leaders are 2x as likely to have redesigned workflows around AI ([PwC](#)). Because the top driver of value is workflow redesign — a capability built only by doing — every quarter of delay pushes the learning curve out a quarter. The most AI-exposed firms have tripled their workforce productivity growth lead since 2022 ([PwC 2026 Jobs Barometer](#)).

3. Your clients are already expecting it

77% of clients want their tax firm to use GenAI, and 59% currently don't know whether their firm does ([Thomson Reuters](#)); 79% of firms expect significant GenAI integration by 2027 ([Thomson Reuters](#)). A firm that can answer "yes, here's how we use it safely" has a marketing asset; one that can't is quietly out of step with client expectations.

4. The window for a small-firm advantage is open — but narrowing

SBA Advocacy's analysis suggests small firms may be only about a year behind large firms on AI adoption, and the smallest firms are adopting fastest among small firms ([SBA Office of Advocacy](#)). Meanwhile the cost of the underlying capability keeps collapsing — inference costs for GPT-3.5-level performance fell more than 280-fold between late 2022 and late 2024 ([Stanford HAI](#)). Tools are cheap and getting cheaper; the scarce asset is the workflow knowledge of where your firm can use them, which only accumulates with practice. 65% of AI-using professionals fear falling behind if they don't adapt quickly ([Microsoft](#)) — that fear is the market telling you the clock is running.

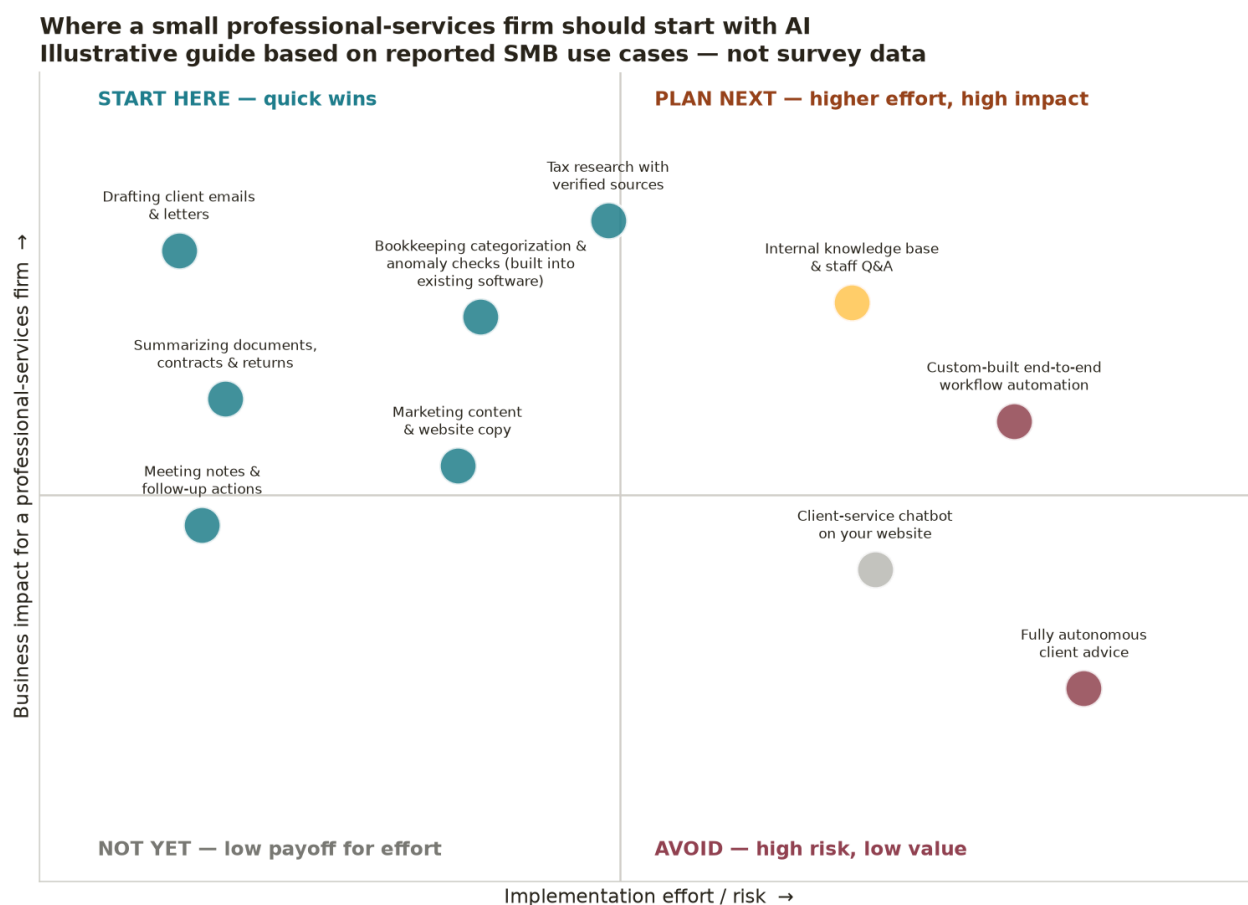
5. The talent market is repricing around AI

Workers with advanced AI skills now command a 56% wage premium, up from 25% a year earlier ([PwC AI Jobs Barometer](#)), and 76% of leaders are willing to pay up to 10% more for strong AI skills ([KPMG](#)). A firm that trains its existing people now is buying that capability at pre-scarcity prices.

The honest counter-case

Waiting is not catastrophic. Adoption is spreading but most firms — including most of your competitors — are still shallow users: 57% of AI-using firms deploy it in three or fewer functions ([Census Bureau working paper](#)), and only 14% of AI-using small businesses say it is fully embedded in core operations ([Goldman Sachs](#)). Nobody is being disrupted overnight. But the same data shows the distribution of value is concentrating among those who commit. The rational play for an apprehensive owner is not a bet-the-firm transformation — it is a small, controlled start now that begins the compounding.

A 90-Day Start Plan for a Professional-Services Firm



Days 1–14 — govern first, then begin. Write a one-page AI acceptable-use policy: no client PII into consumer tools, human review of every client-facing output, verification of every authority or citation AI provides. Choose one sanctioned general-purpose tool with business data protections. (Close the gap that 70% of tax firms have not ([Thomson Reuters](#)).)

Days 15–45 — pilot the quick wins. Drafting client emails and letters, summarizing documents, meeting notes, marketing content — the low-effort, high-impact quadrant above, and the same tasks small-business GenAI users most commonly do: writing/editing communications (85% of GenAI-using firms), searching for information (50%), and summarizing documents (45%) ([U.S. Census Bureau](#)). Track hours saved — that is your ROI evidence.

Days 46–75 — extend to the profession's core tasks. Tax and compliance research with source verification, client onboarding checklists, internal knowledge-base Q&A for staff — mirroring the use cases your industry has validated ([Thomson Reuters](#)). Turn on AI features already inside the software you own (your tax, accounting, and document platforms) before buying anything new.

Days 76–90 — measure, train, and decide. Compare hours saved against the SBE Council benchmark (5 owner-hours and 11.5 employee-hours per week for \$2,200/year ([SBE Council](#))). Give staff 30 minutes of training weekly (only ~10% of small-business workers get formal training ([U.S. Chamber Foundation](#))). Then decide what to scale next — and equally important, what to stop.

Standing governance checklist: acceptable-use policy in writing; no client PII in consumer-grade tools; human review before anything reaches a client; AI-provided citations verified against primary sources; an incident plan (what to do if a bad output reaches a client); annual policy review. This matches the controls small companies most lack — only 9% monitor deployed AI and 36% have incident plans ([Kiteworks](#)) — and closes them at trivial cost.

The Bottom Line

For an apprehensive small-business owner, the data resolves into one sentence: **the question is no longer whether your business will use AI, but whether it will use it governed and skilled or ungoverned and late.**

The pros are now measured at your scale: hours back every week, revenue gains reported by most users, and novice-leveling effects that help a small team punch above its weight. The cons are real — hallucination, privacy, governance, and the graveyard of ambitious custom builds — but every one of them is a management problem with a one-page answer, not a reason to abstain. And the risk of delay is not a dramatic collapse; it is the quiet arithmetic of compounding: competitors' workflow knowledge, clients' expectations, and the talent market all reprice while a wait-and-see firm stands still. SBA Advocacy's data suggests small businesses may be only about a year behind the big adopters — close enough to catch up, far enough that waiting another year makes the catch-up harder.

Start this quarter, start small, write the policy, measure the hours. That is the whole strategy, and it is enough.

Data Notes and Caveats

- Survey definitions vary: "AI use" (Census), "generative AI use," and "regular use" (owner surveys) are different measures and are labeled as such throughout. Census figures are the most statistically reliable; owner surveys capture informal tool use the strict Census question misses.
- The Census AI question wording changed in November 2025 from "producing goods or services" to "any business function," which raises measured rates; comparisons across that boundary are flagged in the relevant chart.

- Consulting-firm surveys (McKinsey, BCG, Deloitte, KPMG) skew toward large enterprises; their results describe enterprise reality, not small-business reality, and are used here for direction and mechanism, not as SMB benchmarks.
- SMB outcome figures (revenue, productivity) are self-reported by AI users and are not matched-control comparisons; no source publishes a rigorous AI-user vs. non-user growth differential for small businesses.
- The hours-saved-to-annual-weeks conversion (240 hours $\approx$ six 40-hour weeks) is arithmetic on SBE Council medians, not a sourced claim.